

Back-Through Open

Why the Back-Through Open works:

- A stock with a strong news catalyst and a big gap up will often attract selling at the open from participants that are looking to take profit
- However, this will also attract new participants who are looking to get involved with the stock
- The initial selling at the open will often result in a small downtick but will find buying support shortly after
- This buying support will eventually overwhelm the selling and reverse higher

Entry Rules (inverted rules for the short side):

- Enter aggressively when price crosses back through the opening price

Stop Loss Rules:

- The stop should be placed one cent below the LOD
- We will only try this trade once

Exit Rules:

- This is a momentum trade so we want to stick with this trade until the momentum slows
- We will wait for the stock to close below the 9 EMA on the 1-minute chart to trigger our exit or exit after a two-bar break

Factors that increase the probability of this trade working:

- We want to see the back-through open occur within the first 5-minutes
- After price crosses the opening price, we want to see continued momentum
- The stock is also breaking out on the daily chart
- This trade works best in an aggressive momentum market

Factors that decrease the probability of this trade working:

- The market trending in the opposite direction of the trade
- We don't want to see chop or any type of pause after our entry, this should work right away
- This trade does not work as well in a range-bound market or a market that is fading moves

The ideal times of day to take this trade:

- First 5 minutes of the trading day

When do we avoid this trade entirely?:

- We will avoid this trade entirely if the catalyst is not at least an 8+. The catalyst needs to be strong enough to encourage aggressive participation

